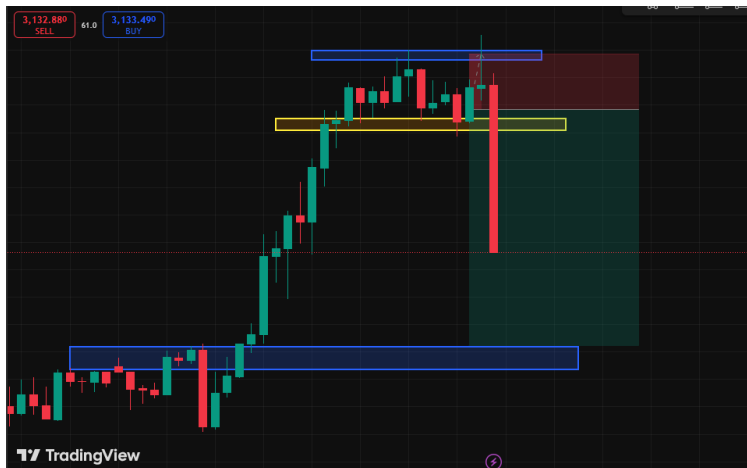


Candle Range Theory (CRT)

- Simplifies price Action Analysis.
- Focuses to analyse price range (high – low)
- It gauges; Market Volatility, Momentum and Potential reversals
- Emphasizes the size, position and context of the candles range within a trend.

Types of candle ranges

❖ **Narrow Range. NR .**



- ✓ Small difference between high and low
- ✓ Indicates low volatility and Consolidation
- ✓ Often presides breakout if followed by a wide range candle

❖ **Wide Range .WR.**



- ✓ Large difference between high and low
- ✓ Signals high volatility and high buying or selling pressure
- ✓ A bullish WR during an uptrend suggests continuation
- ✓ A bearish WR in a downtrend suggests panic selling .

Closing Position

- ❖ Bullish Close –price closes near the high [buyers dominate]
- ❖ Bearish Close –price close near the low [sellers dominate]